

**SUBSTITUTE FOR
SENATE BILL NO. 559**

A bill to amend 2000 PA 489, entitled
"Michigan trust fund act,"
(MCL 12.251 to 12.262) by adding sections 11a and 11b.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 11a. (1) Beginning October 1, 2026, the revenue sharing**
2 **trust fund is established in the department of treasury. The**
3 **revenue sharing trust fund consists of 1 or more of the following:**

4 (b) Money deposited in the revenue sharing trust fund as
5 required by section 25 of the general sales tax act, 1933 PA 167,
6 MCL 205.75.

7 (b) Donations of money made to the revenue sharing trust fund
8 from any source.

9 (c) Interest and earnings from revenue sharing trust fund



1 investments.

2 (2) The state treasurer shall direct the investment of the
3 revenue sharing trust fund.

4 (3) Money in the revenue sharing trust fund at the close of a
5 fiscal year remains in the revenue sharing trust fund and does not
6 lapse to the general fund.

7 Sec. 11b. (1) Beginning on October 1, 2026, subject to
8 subsections (6) and (7), and upon appropriation, the state
9 treasurer shall transfer and disburse the money received by the
10 revenue sharing trust fund as follows:

11 (a) To cities, villages, and townships, \$299,126,400.00 to be
12 distributed to each city, village, or township, regardless of
13 whether any limitation or eligibility criteria under section 952 of
14 article 5 of 2023 PA 119 were met, in the same proportion of the
15 revenue sharing payment that each was eligible to receive under
16 section 952 of article 5 of 2023 PA 119, rounded to the nearest
17 dollar.

18 (b) To cities, villages, and townships, any remaining amount
19 appropriated to be distributed as follows:

20 (i) One-third as taxable value payments as provided under
21 subsection (2).

22 (ii) One-third as unit type population payments as provided
23 under subsection (3).

24 (iii) One-third as yield equalization payments as provided under
25 subsection (4).

26 (c) To counties, \$261,069,700.00 to be distributed to each
27 county, regardless of whether any limitation or eligibility
28 criteria under section 952 or 955 of article 5 of 2023 PA 119 were
29 met, in the same proportion of the revenue sharing payment that



each was eligible to receive under section 955 of article 5 of 2023 PA 119, rounded to the nearest dollar.

(d) To counties, any remaining amount appropriated as a taxable value payment determined as follows for each county:

(i) Determine the per capita taxable value for each county by dividing the taxable value of that county by the population of that county.

(ii) Determine the statewide per capita taxable value by dividing the total taxable value of all counties by the total population of all counties.

(iii) Determine the per capita taxable value ratio for each county by dividing the statewide per capita taxable value by the per capita taxable value for that county.

(iv) Determine the adjusted taxable value population for each county by multiplying the per capita taxable value ratio as determined under subparagraph (iii) for that county by the population of that county.

(v) Determine the total statewide adjusted taxable value population, which is the sum of all adjusted taxable value population for all counties.

(vi) Determine the taxable value payment rate by dividing the amount to be distributed under this subdivision by the total statewide adjusted taxable value population as determined under subparagraph (v).

(vii) Determine the taxable value payment for each county by multiplying the result under subparagraph (vi) by the adjusted taxable value population for that county.

(2) A taxable value payment described in subsection (1) (b) (i) to each city, village, and township is determined as follows:



1 (a) Determine the per capita taxable value for each city,
2 village, and township by dividing the taxable value of that city,
3 village, or township by the population of that city, village, or
4 township.

5 (b) Determine the statewide per capita taxable value by
6 dividing the total taxable value of all cities, villages, and
7 townships by the total population of all cities, villages, and
8 townships.

9 (c) Determine the per capita taxable value ratio for each
10 city, village, and township by dividing the statewide per capita
11 taxable value by the per capita taxable value for that city,
12 village, or township.

13 (d) Determine the adjusted taxable value population for each
14 city, village, and township by multiplying the per capita taxable
15 value ratio as determined under subdivision (c) for that city,
16 village, or township by the population of that city, village, or
17 township.

18 (e) Determine the total statewide adjusted taxable value
19 population, which is the sum of all adjusted taxable value
20 population for all cities, villages, and townships.

21 (f) Determine the taxable value payment rate by dividing the
22 amount to be distributed under this subsection by the total
23 statewide adjusted taxable value population as determined under
24 subdivision (e).

25 (g) Determine the taxable value payment for each city,
26 village, and township by multiplying the result under subdivision
27 (f) by the adjusted taxable value population for that city,
28 village, or township.

29 (3) A unit type population payment as described in subsection



(1) (b) (ii) to each city, village, and township is determined as follows:

(a) Determine the unit type population weight factor for each city, village, and township as follows:

(i) For a township with a population of 5,000 or less, 1.0.

(ii) For a township with a population of more than 5,000 but less than 10,001, 1.2.

(iii) Except as otherwise provided in subparagraph (xix), for a township with a population of more than 10,000 but less than 20,001, 1.44.

(iv) For a township with a population of more than 20,000 but less than 40,001, 4.32.

(v) For a township with a population of more than 40,000 but less than 80,001, 5.18.

(vi) For a township with a population of more than 80,000, 6.22.

(vii) For a village with a population of 5,000 or less, 1.5.

(viii) For a village with a population of more than 5,000 but less than 10,001, 1.8.

(ix) For a village with a population of more than 10,000, 2.16.

(x) For a city with a population of 5,000 or less, 2.5.

(xi) For a city with a population of more than 5,000 but less than 10,001, 3.0.

(xii) For a city with a population of more than 10,000 but less than 20,001, 3.6.

(xiii) For a city with a population of more than 20,000 but less than 40,001, 4.32.

(xiv) For a city with a population of more than 40,000 but less



1 than 80,001, 5.18.

2 (xv) For a city with a population of more than 80,000 but less
3 than 160,001, 6.22.

4 (xvi) For a city with a population of more than 160,000 but
5 less than 320,001, 7.46.

6 (xvii) For a city with a population of more than 320,000 but
7 less than 640,001, 8.96.

8 (xviii) For a city with a population of more than 640,000,
9 10.75.

10 (xix) For a township that has a population of more than 10,000
11 and provides documentation to the department of treasury that the
12 township provides for or makes available all of the following, the
13 unit type population weight factor for a city with the same
14 population:

15 (A) Fire services.

16 (B) Police services on a 24-hour basis either through
17 contracting for or directly employing personnel.

18 (C) Water services to 50% or more of the township's residents.

19 (D) Sewer services to 50% or more of the township's residents.

20 (b) Determine the adjusted unit type population for each city,
21 village, and township by multiplying the unit type population
22 weight factor for that city, village, or township as determined
23 under subdivision (a) by the population of the city, village, or
24 township.

25 (c) Determine the total statewide adjusted unit type
26 population, which is the sum of the adjusted unit type population
27 for all cities, villages, and townships.

28 (d) Determine the unit type population payment rate by
29 dividing the amount to be distributed under this subsection by the



1 total statewide adjusted unit type population as determined under
2 subdivision (c).

3 (e) Determine the unit type population payment for each city,
4 village, and township by multiplying the result under subdivision
5 (d) by the adjusted unit type population for that city, village, or
6 township.

7 (4) A yield equalization payment described in subsection
8 (1)(b)(iii) to each city, village, or township must be in an amount
9 sufficient to provide the guaranteed tax base for a local tax
10 effort, but not to exceed 0.02, and is determined as follows:

11 (a) The guaranteed tax base is the maximum combined state and
12 local per capita taxable value that can be guaranteed in a state
13 fiscal year to each city, village, and township for a local tax
14 effort, not to exceed 0.02, if an amount equal to the amount
15 described in subsection (1)(b)(iii) is distributed to cities,
16 villages, and townships whose per capita taxable value is below the
17 guaranteed tax base.

18 (b) The full yield equalization payment to each city, village,
19 and township is the product of the amounts determined under
20 subparagraphs (i) and (ii):

21 (i) An amount greater than zero that is equal to the difference
22 between the guaranteed tax base determined in subdivision (a) and
23 the per capita taxable value of the city, village, or township.

24 (ii) The local tax effort of the city, village, or township,
25 not to exceed 0.02, multiplied by the population of that city,
26 village, or township.

27 (5) For purposes of determining distributions described in
28 subsection (1)(a), any city, village, or township that completely
29 merges with another city, village, or township is a single entity,



1 so that when determining the distribution the combined single
2 entity is to receive under subsection (1) (a), the city, village,
3 and township revenue sharing amount that each of the merging local
4 units of government was eligible to receive under section 952 of
5 article 5 of 2023 PA 119 is summed.

6 (6) If the balance in the revenue sharing trust fund is less
7 than the amount appropriated, payments made under subsection (1) (b)
8 and (d) must be prorated to reflect the remaining money in the
9 revenue sharing trust fund after distributions made under
10 subsection (1) (a) and (c).

11 (7) If a city, village, township, or county is eligible to
12 receive a distribution under subsection (1), the distribution must
13 be made on the last business day of October, December, February,
14 April, June, or August, as applicable.

15 (8) Money in the revenue sharing trust fund must not be
16 transferred, expended, withdrawn, or otherwise disbursed from the
17 revenue sharing trust fund except as authorized in this section.

18 (9) Payments distributed under this section may be withheld in
19 accordance with sections 17a and 21 of the Glenn Steil state
20 revenue sharing act of 1971, 1971 PA 140, MCL 141.917a and 141.921.

21 (10) For each state fiscal period that begins after September
22 30, 2027, the governor and the state budget director shall include
23 in the annual budget for that fiscal period submitted to the
24 legislature under section 18 of article V of the state constitution
25 of 1963 an appropriation directing the state treasurer to transfer
26 and disburse money from the revenue sharing trust fund as provided
27 in this section.

28 Enacting section 1. This amendatory act does not take effect
29 unless all of the following bills of the 103rd Legislature are



1 enacted into law:

2 (a) Senate Bill No. 561.

3 (b) Senate Bill No. _____ (request no. S06836'26).

